Too Much Compute: Why This Top Hedge Fund Manager Believes AI is Heading for a Massive Oversupply | David Orr

Podcast: Monetary matters

AI Executive Summary

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Core Thesis

The episode centers around the concept of an AI-driven oversupply, where the rapid development and deployment of AI technologies are expected to outpace the physical world's ability to fully utilize them. The discussion revolves around the idea that while AI and related infrastructure are currently in high demand, this demand is expected to diminish as the physical world catches up, leading to a potential oversupply of AI compute capacity. The speakers argue that this trend is already evident, with signs of a market correction in AI infrastructure, data centers, and semiconductors. The long-term view is that while AI will eventually find its place, the short-term outlook is one of market correction and potential oversupply.

Key Arguments & Data

- **AI Oversupply**: Speaker 00 argues that the market is already showing signs of an oversupply of AI compute capacity. This is evidenced by the decline in AI infrastructure, data centers, and semiconductors, with the market looking for an excuse to sell off these assets.
- **Leverage and Market Dynamics**: Speaker 00 mentions that funds are running at high leverage, which can lead to significant drawdowns during market corrections. The episode discusses how certain trades are blowing up, indicating a high level of risk in the current market environment.
- **Fundamental vs. Technical**: Speaker 01 questions the distinction between fundamental and technical reasons for market movements, suggesting that positioning and narrative shifts are driving the market more than underlying fundamentals.
- **Hyperscalers as Long-Term Winners**: Speaker 00 believes that hyperscalers like Google, Amazon, and Microsoft will benefit from the oversupply situation. These companies have locked in significant capacity and have a lower risk profile, making them attractive long-term investments.
- **Tax Concerns**: There is a discussion about potential tax hikes, particularly from the Democrats, which could impact market sentiment. Speaker 00 suggests that while these concerns are valid, they are already priced into the market.
- **AI and Software Correlation**: The episode explores the correlation between AI and software stocks, noting that the long AI, short software trade has become crowded and may be breaking down.
- **Technological Disruption**: Both speakers discuss the potential for AI to disrupt traditional industries, with Speaker 00 arguing that the physical world will face bottlenecks as it tries to catch up with AI capabilities. This includes sectors like drug discovery and construction.
- **Market Sentiment and Beta**: Speaker 00 discusses his fund's beta, which has been negative but not super negative, and his strategy of aiming for a near-zero beta position to avoid directional bets on the market.

Actionable Takeaways

1. **Invest in Hyperscalers**: Given the expectation of an AI oversupply, investors should consider investing in hyperscalers like Google, Amazon, and Microsoft, which are well-positioned to benefit from the current market dynamics.
2. **Diversify with Tangibles**: The episode highlights the potential for a return to tangibles, as represented by the Sarmaya ETF (ticker L-E-N-S). This ETF provides exposure to real assets and can help diversify a portfolio against inflation and geopolitical risks.
3. **Monitor Market Sentiment**: Given the high leverage and crowded trades, investors should be cautious and monitor market sentiment closely. The episode suggests that a significant market correction is already underway.
4. **Consider Long-Term Trends**: While the short-term outlook may be challenging due to oversupply, the long-term potential of AI and its impact on various industries should not be overlooked.
5. **Stay Informed on Policy Changes**: Investors should keep an eye on potential policy changes, such as tax hikes, which could impact market sentiment.
6. **Adapt to Technological Disruption**: The episode emphasizes the importance of adapting to technological changes and considering how they might affect traditional industries. This includes staying informed on areas like drug discovery and construction, which could be impacted by AI.
7. **Manage Risk**: Given the high leverage and crowded trades, investors should aim for a near-zero beta position to avoid directional bets on the market. This can help in managing risk during volatile market conditions. ```

Diarized Transcript

SPEAKER_00: AI is going to be in an oversupply. So we're going to have too much intelligence and it's going to take years for the physical world to catch up. You can't have too much intelligence, but short term, you're going to run into all sorts of other bottlenecks and you're going to have way too much compute. Basically, besides software companies, nobody is really buying this compute. And then, so our software company is actually going to need even more than what we already have. It's just a matter of time.

SPEAKER_01: before basically the software companies say, oh, we don't actually need this. And then you start reselling your capacity. And then once that starts happening, it just goes to a tiny fraction of the price. This episode is brought to you by Sarmaya Partners, who manages a return to tangibles ETF Lens, ticker L E N S. The Sarmaya thematic ETF built for a return to tangibles. Learn more at SarmayaETF.com and see the show notes for disclosures. Let's get into it. Hello and welcome to other people's money. I am joined today by David or founder of militia capital, a hedge fund that he's been running for a number of years now that has absolutely fantastic returns. They've compounded at 48% annualized. David, you've grown to over 500 million. Thank you for coming on the show. Thanks for having me. We are in quite the environment. We're recording this the week. after U.S. midterms and the market has had quite a reaction to the results. Some of the things that are happening have kind of been underway even before we got the midterm results. I'm interested in what you think of the unwinding of what really was the most popular trade of the year and long AI infrastructure data centers, semiconductors. Yeah, like you said, it was already kind of in a decline since June. A few of the best traders I know thought it had like a sort of blow off top back in June.

SPEAKER_00: And I think the market was just kind of looking for an excuse for AI to sell off really hard. It kind of capped the upside when too many people sort of locked in at that really high price. It was kind of in a downtrend. You didn't have any new marginal buyers. It was just waiting to drop. I'd posted about that a few times. I anticipated it. I didn't, nobody

really knows why, you know, certain thing will cause the drop. I don't think anybody knows why.

SPEAKER_01: I guess the Texas governor was the biggest news. I don't really think that that's the real reason though. Now, both in June and this time, there are a lot of talks about funds blowing up people being liquidated out of their positions. When you get a selling event like this, how do you tell what's people puking for fundamental reasons versus liquidation? You know, these shops are running at eight times leverage or six to 10 times leverage kind of range.

SPEAKER_00: And some of the trades you're seeing are blowing out just weird stuff. Like the Nikkei was down 5% and then the Japan small cap value is randomly up that day. That was clearly somebody just blew up there using lots of leverage. And it was a bunch of things like that that kind of blew out and there's kind of a chain reaction with these kind of moves. So everybody who is in the... levered long semiconductor trades last short, whatever, you know, they basically all blew up as a group this week. I was just trying to stay out of it for my own partition. So I sort of broke even through all this. And Mike and Rodrigo traded it well. So they both won pretty well. You're up to 10 portfolio managers now. When you believe something has has topped like this. Are you communicating that? How are you making sure that What's happening and maybe one of your other sleeves isn't going to cause a problem for you? Well, the other seven guys are so small that, you know, even if they did something really stupid, it wouldn't really affect the fund. But it was kind of reassuring to see that the result of the each individual guy, it's good to see a stress test finally. And basically none of them had a nasty drawdown. The worst one, I think, was minus eight percent. And given such an extreme move, I'm not even reading into 8% that much. Most of the guys broke even around. So yeah, I didn't really see any problem at all. And I'm trying to reassure them, hey, this is a weird market environment. Try not to stress out too much. Everyone's risk control seemed pretty good. So things are on track. Do you have a view on if there's more to go? I'm not sure I'm not buying the dip yet. I think I probably will buy semiconductor ETF at some point, at least short term. You know, I've become kind of I was a big AI bull on most of the way up and then actually sold all my AI stocks in June. And then basically my

opinion is AI is going to be in an oversupply. So we're going to have too much intelligence and it's going to take years for the physical world to catch up. Long-term, I think it'll work. You can't have too much intelligence, but short-term, you're going to run into all sorts of other bottlenecks, and you're going to have way too much compute. So is that going to happen in a year, year and a half? If so, June was probably the top, because the market's a bit forward-looking. But if that happens more like in four years, maybe the AI stocks will go up another 100% first again.

SPEAKER_01: Well, we were just in a world where everyone thought we were short of compute. How do we get from short compute to oversupply being consensus so quickly? I just think it was positioning and then the price drove the narrative. You know, that's all that happened. Yeah, I don't I don't think anything fundamentally changed all of a sudden. So then what are the fundamentals people are pointing to now to say that we are going to have this oversupply?

SPEAKER_00: Like, if you were playing the thesis that the oversupply is going to become evident in a year or two, what would you be pointing to right now? Look at how big the CapEx numbers are over the next two years, really, through 28, right? And they're just enormous. And then, you know, basically, besides software companies, nobody is really buying this compute. And then So our software company is actually going to need even more than what we already have. I feel like they're learning to use it. They're learning to integrate it. And once it's already working, what we already have could seem like a lot. I just know that as long as they keep doing this huge capex, it's just a matter of time before basically the software companies say, oh, we don't actually need this. And then you start reselling your capacity. And then once that starts happening, it just goes to a tiny fraction of the price. I saw a couple of headlines, that was the most interesting thing. Not enough people were talking about this in October. A couple of headlines, people were saying, oh, I have this spare capacity. And in September, people were offering me 12 per compute hour. But now, all of a sudden, nobody's offering that kind of price anymore. Now it's more like 4 an hour. And that's to me, that's the kind of that's the maybe key variable of if there's going to be a huge collapse, but that's very noisy, too. Most of the big contracts are, of course, locked in with these huge companies. And

when you say people were saying, I have this spare compute, I mean, are we talking about very small data centers here like private data centers, like single operator type of people? Yeah, like smaller, smaller shops. And of course, that's not maybe for a large company or like a smaller shop, huge pain in the butt. And maybe it's not worth even setting it all up and everything. Right. So it's not a perfect comparison. What about the software component of the trade? Interestingly, like in the first half of the year, we had.

SPEAKER_01: People were long semiconductors long the AI stocks and short software when whenever Semiconductors would be up software would be down then people sort of started to realize this and got long both Both trades because they were now they were supposedly uncorrelated and software started to show some strength We're seeing the IGV down with the socks and the SMH. Do you think that this? correlation of

SPEAKER_00: Long AI short software has finally broken and did that get crowded as well? Yeah, I think these just get crowded It's kind of random these narratives don't really make any sense, right? Fundamentally in my opinion being bearish most software companies is fundamentally right looking at a few years It's hard to see how they're unless they've got a you know, good moat. It's hard to see how they're not totally screwed. So You know why that should be? correlated to AI hardware either way, it doesn't make sense, right? It's just like, oh, this thing's doomed no matter what, if I'm right about that. And then the wide mode ones, they should probably benefit. So it doesn't really matter. Again, why does the AI capex matter one way or another? It doesn't. So then what are the fundamental trades that you see? My favorite AI play would just be along the hyperscalers, like Google, Amazon, and Microsoft. You know, I anticipated that they'd probably sell off so I got out for a while I might rejoin those at some point Is that based off of the idea that slowing capex actually helps them that because they front-loaded everything they're gonna be the ones who have the compute Yeah, that was a subtle thing. So on the governor victory, they were down pre-market I almost bought the dip briefly for the trade, but I chickened out But they actually spiked to the next day and then all of AI nuked the next day. So They spiked the next day because of what you're saying. Yeah, it's a good thing for the hyperscalers. If hypothetically, the government just

blocked 95% of all new projects, then they own this really unique, wonderful asset, actually. But I don't really think the government... Even the Texas governor thing, it doesn't actually change anything, right? She ran a good campaign and everything, but the real bottleneck was just the power plants. So it was already going to be severely limited either way. And then you can always build these like in some other state or some other place. And I don't really think that news even mattered. But the reason I like the hyperscalers is because the way they structured the contracts, basically they're like 35% return on capital projects. And they've locked in around half. of the capacity they're building. So if you do the math on it, their downside is pretty small. Even if there's a pretty nasty bust, unless the software companies go bankrupt in very large numbers very rapidly, then Amazon, Google, Microsoft won't lose much money at all in the bad outcome. And then in the good outcome, if I'm wrong, let's say that the compute stays tight and we don't have enough intelligence for 10 years. Then you have the 35% return on capital investments, which are incredible. Obviously, the market is a narrative machine right now. It's being incredibly driven by that. What would it take for the narrative to flip back? I think it's just positioning. But who's the marginal buyer from here? Who's getting excited about AI from here? I'm not really that sure who it is right now. Who's the big money here? I just don't see it anytime soon.

SPEAKER_01: Now we had weakness in the AI trade coming into this broader market by and large held up. I would say that yesterday was really the first time that it bled over into like the rest of the market and we got a true sell-off at the index level. Do you think that that was just technical in nature or do people have concerns about?

SPEAKER_00: other areas of the market beyond AI. I mean, the Democrats did really well. So if, let's say that they do really well in 28, they could increase corporate tax rates, for example, maybe the market realized that. So that'd be a good reason for the market to have sold off 4% right there. That'd make plenty of fundamental sense even. Maybe the market thought about that for the, because the S&P 500 was only, it's only down 4% now. For such a strong Democrat and the tax threat it seems pretty reasonable. Actually, what would that be worth? I mean just removing the the Trump tax cut. What would that be worth in valuations? You said we're

down about 4% That doesn't quite seem like enough Yeah, it'd be kind of deferred into the future. Let's say it happens in 2030 or something Yeah, I'd say then if it did happen, it's not enough. But let's say let's say you got also like a 30 to 50 percent chance that it happens. You know, the N4 percent seems, you know, not too far off. Maybe it should be more like six percent or seven. I don't know. But that's that's roughly the right move. We've made most of it already. So on the idea of near term catalysts, the entropic IPO is expected to be priced sometime in by the end of the year. It's already come down in valuation a little bit. What happens if the price gets taken down quite a bit? Yeah I think there's already a bunch of these really big liquidity sinks in the market too. So like the the large Then the magnificent seven they're just issuing shares like crazy right now or or in the bond market, especially to They're just taking everything out out of the liquidity they possibly can and then anthropic maybe they come out maybe not that'd be yet another one

SPEAKER_01: Yeah, so just liquidity reasons. You have another reason to be pretty bearish here. And yeah, if the anthropic comes out, that's just another blow. So Hey, everyone. Hope you're finding value in my questions. I've got a quick question for you. How much of your portfolio actually depends on the physical world. If you own the S&P 500, more than a third is tech, energy, materials and precious metals, about 5%. Sarmaya Partners believes the next cycle belongs to Tangibles, the energy and metal sectors that have been under-invested and under-loved for a decade. They call it a return to Tangibles and Lens, ticker L-E-N-S, the Sarmaya ETF, is an actively managed ETF to express this view. And active is the point. The team follows the themes across sectors, market caps, and borders as the cycle evolves, adding where they see opportunity and trimming themes that look overextended. Miners, energy, precious metals, critical metals, all in one actively managed ticker, L-E-N-S. When inflation runs, stocks and bonds can fall together. Lens adds real asset exposure with the potential to diversify both the stock side and the bond side against inflation and geopolitical risk. Learn more about the Lens ETF, their full data and comparison, including performance at sermayetf.com. Investing involves risk, including the possible loss of principal. So you said you don't think that the threat of data centers being shut down by the Democrats is quite as big as the market believes. You think that this has much more to do with an

oversupply? that was kind of already potentially evident. You do think that the the impact of of tax hikes coming back is something that's serious that people should consider. Are there any other policies as a result of these election results that you think people should be considering right now? Besides the tax thing, I don't really think politics matters much at all. I don't think that most Democrats are pretty moderate. The whole You know, the American system works pretty well. It stood the test of time. So that's the key number. And besides that, maybe there are some small things, but it's not really going to move the needle. You're starting to see the memes joking about Silicon Valley, how they're all going to come out. You know, they all went pretty all in on the Trump administration at the beginning of his second term. You're starting to see jokes about them now turning back to the left.

SPEAKER_00: Do you think that there is going to be some vindictiveness on the tech industry as a result of what many people view as cozying up to the Trump administration? Maybe they'll start doing more antitrust. That's long overdue. So that would be great for the world. But yeah, probably pretty bad for stocks. Well, what's interesting is they seem to be disrupting themselves. Like I put that in my letter in 2023 that AI was like a big threat to their monopoly profits. And I think that's definitely true, but that doesn't have to do with politics, though. So which of the the big tech companies do you think is most at risk from potential antitrust? Probably just Google. Yeah, they just went through it, though. Yeah, but they could always go more through it more. Yes.

SPEAKER_01: I guess that's true. I mean, they just went through on the on search and ads, which looks like it's perhaps in decline. I mean, I don't know if it was down. I don't think it was down. It was just the growth rate slowed significantly. So it's not in decline yet. I think we jumped to that. But certainly it looks like I mean, I'm using AI for a lot of my searching now. It's affected my search behavior. And I don't know if I was getting ads in my, you know, AI results, if it would impact which models I use. Like we haven't really crossed that Rubicon yet to see how people would react. I mean, who knows? Maybe it's something that that Google can figure out how to monetize. I think that what Google has are things like the maps

being integrated is pretty good for them. And their ads on like YouTube, YouTube probably benefits a lot from AI.

SPEAKER_00: You get to make way more content, one-man videos that'll be really great and everything. And then they have a scale advantage in that business. But for search specifically, I think it's a headwind. It's not like they're going to die overnight, but that business is just going to start shrinking at some point. I don't think it'll get cable TV declines by about 10% a year. I don't think it'll get that bad, but people are creatures of habit. that keep doing even if it's not the best thing. Google can integrate their own AI into the search to make it so people don't just go. But they're not going to get away with just these wall of advertisements anymore. And I don't think anyone will. I don't think any of the AIs are going to be able to do this. Because let's say that the very best model for the very strongest use case For programming or whatever. Okay, but there they're charging a high price. They're not making money on ads But then let's say for a normal person you're like, oh I want to figure out a good restaurant five-minute walk for me or whatever Right in few years all of the AI's are gonna be good enough to do this. There's not like a Way that they're gonna get away with making a really annoying Advertisements or doing what Google search did actually made it suboptimal. So people would have to search for longer I don't even you know, it's kind of a No one's going to be able to do that kind of thing anymore either. So how do you square that with your view that you think the hyperscalers are the winner? Just the that that portion of their businesses, it's a really good risk reward just because of the way they structured the deals. So if I'm wrong, and if AI intelligence is in tight supply for the next decade, then they're investing these hundreds of billions of dollars at 35%.

SPEAKER_01: return on capital. That's incredible. So that alone would sort of cut through any of the bare case of any of the other businesses even. What is it that you think has brought us to this point of a shortage? Is it the efficiency of the models that we're just not going to need to use the frontier models to achieve most of our tasks? That most tasks do not require 300 level IQs? Exactly.

SPEAKER_00: they can be automated on that, that we're just not actually doing that much advanced work. Yeah, that's exactly right. And even programming, you know, I don't actually understand what people have been spending on some products I do. But let's use Windows as an example. Like Windows 7 was basically just really good. And ever since then, Windows hasn't improved because it was already perfect. You couldn't really think of a way to make it any better. And this is but they keep making new Windows. I don't know why exactly, but I felt like this was true for a lot of things. An Instagram or whatever, it's not like this is actually a high-tech product or Netflix or whatever. These are really simple businesses, actually. You don't need a ton of super intelligence for this. I think the intelligence could be used more for things like, say, medical research. But that's where I'm saying the physical bottleneck is going to hit way faster than, you know, because you need to like a lab monkey or something, right? How do you scale up the lab monkeys 100 times? So how much compute does drug discovery need? Like if we said we think that we're going to cure cancer, all these other major diseases with AI, how much compute could it possibly use? It could use like a lot, but you need to like probably collect data. I mean, nobody knows for sure how it'll work, but the way I think it'll work is, you know, the AI will say, okay, this seems like an interesting path, so let's start researching this. And you're gonna need a team of humans or robots or whatever to actually run the experiments, run the studies, collect the data, and then the AI will say the next time, okay, well, we need to now do these next sets of studies, get new data, et cetera. And then, you know, I guess the sky's the limit on that. You can just keep solving this with ever more resources. But when I sort of zoom out and look at it, I say, okay, if this is going to increase the number of experiments being run by a hundred times, you know, actually physically building all of those labs and everything, I mean, that's just going to take many, many years. So that's why I think that that's more likely to be the bottleneck.

SPEAKER_01: Let's remove the physical bottlenecks. Could drug discovery alone, or call it these sorts of like hard science problems, you know, you could take them even beyond. We still don't have like a good solid state battery, right? Like what if AI could help us design a good solid state battery? Like you can find other hard science problems that potentially AI could solve. Like, do you think that technological advancement

SPEAKER_00: as a demand source for compute is big enough to to take up the oversupply or perceived oversupply. I think there is like there is an outcome where that happens because the way humans sort of invent things, it takes like a long time of building up, building up, building up. And it's not usually just one man. You could say Claude Shannon or somebody was sort of like that in some ways. But let's take like an Einstein or somebody I mean he just had this kind of narrow one thing or a couple things he came up with and You know, he's kind of this outlier intelligence so How many more things and then and then the other point is we haven't really been we didn't really have people like this now for like almost a hundred years, right? So we it seems like for humans who are not this kind of outlier human intelligence who could just sort of sound and think about problems in their head and solve the problem, they basically stop making progress like, I don't want to say exact number, but maybe 70 or 80 years ago, right? And so maybe if the computer gets even way smarter than they ever were, maybe this will resume, in which case, yeah, the price of compute could just go crazy high. But if it doesn't go that way, then I think you...

SPEAKER_01: Run to the bottlenecks instead. Well, look, there's a lot of people with a lot of money invested in making this thing keep going. Right. All the banks, all the big money managers, Silicon Valley. Right. Like is is it seems almost existential to the whole trade that they make some sort of big breakthrough. And you've even seen it with with the language, like people are starting to pivot towards curing cancer as the reason why Anthropic is worth one point five trillion dollars. Right. Then outcomes. It's starting to be more about outcomes than demand to replace labor. They're going to need to come up with some more demand because the reason they're saying that is because maybe they realize what I said earlier is the software companies themselves. It's just unlikely that they're going to.

SPEAKER_00: You know, because they're the big customer today and they need a new big customer So they need to sort of sell this idea. I hope it works. I hope for sure that'd be great So but is it going to I don't really know what about just like white-collar office labor Do you think that that even is a big enough demand source if it was truly adopted? No that I mean that stuff's so simple and just the way AI is improving you can assume that

SPEAKER_01: all of that stuff is going to go to zero in five years. And the cost of getting your whatever accounting and everything done will just be almost free and it will use almost no compute. So we could we could we could replace like a huge, huge portion of human labor. And there's really not anybody profiting from it except for the shareholders of the existing companies.

SPEAKER_00: Don't even think the shareholders. I mean, I think that's a pretty crappy business, right? Let's say you do Let's say corporate taxes or something or personal taxes Like let's say let's take a complex personal tax return, right? It's kind of complex. You need a pretty good accountant personal accountant right now But the machine is it's not going to be complex for the machine and then if it's not complex for one machine They'll probably get 10 of them made. And that means the price will be basically free. They're not going to make any profit from having even made the system, but they're probably going to make it. So I think the only people who win are the consumer. Well, I guess I'm just talking more about, say, a progressive insurance, like a big company where there's a lot of knowledge work that's happening.

SPEAKER_01: a lot of it is administrative. You're dealing with like a massive like bureaucratic mess and like the fact that like the departments of insurance are all at the state level. Like there are these companies that have tons and tons and tons of revenue and they have like huge amounts of cost to produce, you know, small margins. Now insurance because of its nature, like you could argue that the margin that they earn like might become regulated if if we are able to create like some amount of efficiency. But that's more what I'm talking about is like take a large national multinational corporation that has a significant amount of their costs in labor, is that story still real in any way? I think that most of those white collar jobs are going away. So let's say that you have a wide moat business like that, right?

SPEAKER_00: And let's say that for some reason people can't copy them, just the scale of it or say it was a network effect or something like this. And maybe they have to cut their prices a little bit, right? But because they got to fire almost all their workers, they just kind of have this cash printer. You know, that's the bull case for some of these companies. But for the actual AI

use in that case, I don't think that it's going to use a ton of compute still. It's just the actual compute they're using. is gonna not really move the needle for this hyperscaler capex thing. My base case is that all those jobs are going away though. And then if it's like a competitive industry, then they're really screwed, because their whole business before was the whole bureaucracy like you're saying, and now you don't even have that. So you might have some businesses where they're able to implement AI, improve margins, and become this proverbial cash printer.

SPEAKER_01: But then in industries where it's more competitive, it just becomes another race to the bottom where everybody everybody's going to have the margin improvement. And, you know, the old your margin is my market share argument. Yeah. I mean, it sort of happened in other industries, too. You can think like what Amazon did to retail generally or, you know, you know, like.

SPEAKER_00: Back in the day, the railroad, that screwed over a lot of businesses too, right? Those businesses all just ceased to exist. There was this funny, it's a satire website. They had this caveman trying to block the wheel from being used because, oh man, it's going to disappear so many jobs. It's funny, but I think it's a good thing. People don't even like doing accounting mostly.

SPEAKER_01: Yeah, I mean when you talk about like the labor It's certainly not our highest calling like the type of labor that we're talking about as as potentially being replaced but Having a sense of it the idea that it won't cause societal problems That suddenly all those people are gonna become painters, right? It's like well, they would they would we would all be producing masterworks if we weren't so busy like You know filing TPS. Yeah

SPEAKER_00: But that that's the thing. So the thing about painters is it's like a prices law kind of thing. So it's like a tiny, tiny percent of the people who sort of generate any of the interest. But I always like the example of furniture. So we're in this supposedly super rich society today, but everyone's just buying this kind of slop furniture from, you know, you assemble it in a box and nobody actually put any real effort into making this. It's just kind of factory made junk. You know, maybe people more

people will start making good quality furniture or maybe You know, I think there's a lot of potential jobs people can get into so you think it's the trades, you know more than anything Yeah, I think I think that's a big one. I think Yeah, so we'll go back to guilds Hopefully if we're lucky. No, that's good. I just I think it's I Think it's a tough a tough

SPEAKER_01: problem. I mean, but what do you think about like, vertical AI and the idea that there are companies are going to be able to price based off of outcomes, right, that you're going to be able to make a tool like a custom tool for an industry. And it's not going to be commoditized, it's not going to be usage based in the same way and that you're going to be able to drive the type of cost savings for a particular company or industry. Do you think that there's going to be any ability to have that sort of pricing power in delivering AI solutions to large corporations? No, maybe for a few years. Maybe it'll seem like a good business for a few years, but I'm just assuming because all that stuff is so simple and it's just you need to connect kind of weird things and people and

SPEAKER_00: times and everything. And, you know, I don't think the AI is quite good enough yet. But yeah, in five years, I mean, I'm pretty sure you think general AI, the idea of custom tools for specific solutions. Yeah, I'll use my own business as an example. So this year, we hired a few people were already building tools. We built like a risk system, which, you know, it's It's kind of a custom in-house risk system and it works really well. It's maybe not quite as good as the super professional ones yet, but it's, I like it better. I think it's great. And we've built an in-house terminal and there's some hurdles to making this all a public product. But you know, I think that I'm basically just going to probably make it free or like they'll pay for like if they have a customized AI interface, they'll pay for their own tokens or whatever. But otherwise, I think I'm just gonna give it away for free. I think this should be free It's not like or maybe the price will be really low at first or maybe even a little higher at first But then I'm gonna aggressively lower it because I know Other people are gonna make it So my thinking is let's say that we have this risk terminal risk system slash terminal kind of all-in-one Modern portfolio product that you can just connect your IDKR account to Yeah, and let's say the AI gets good enough in a year or two. They're just you don't even have to do anything It just automatically does it for you

Great. So now you just fire the thing up and ties your portfolio. It says here's the risk you're taking and blah blah blah and then You know from my standpoint we can just use this as a marketing tool like oh, okay Well, at least every time someone shares a thing of their risk report or shares a thing of this company You know, hopefully our brand logo will be some tiny little thing somewhere

SPEAKER_01: You could just have it up at the top. How much you're underperforming militia just constantly. Yeah. You should be throwing in the towel and giving your money to David. There's still the access to the data. Are you able to just get all the data you need for the terminal? Like I'm sure that that costs money and then to be able to serve it. Yeah. So the data example, basically getting the data in like, like the actual like, let's say

SPEAKER_00: Let's just use annual reports for an example getting these Was the easy part of the job before? But it was some some small percent a few percent of the job But Bloomberg's old mode was that you know years and years of guys like cleaning up this data and making it work, right and everything but now Let's say we go get all the old annual reports from all these companies from the last, you know Hopefully we can go back a hundred years. That'd be fun Then guess what? We just have the AI clean it up. I bet I trust the AI's numbers better than the Bloomberg guy's numbers in a few years So now we have a product that costs some tiny fraction of the price and it's a better so Yeah, I mean David, what do you think about the potential that you are perhaps a high agency human being and that your and your business's experience in building these things and going out and getting the reports and cleaning the data is anomalous. Yeah, but I'm saying I'm going to give it away for free. So that means if it works, you know, then like the people who used to charge, they're trying to like for other companies do the same thing as like 25 grand or 35 grand a year for one user. Let's say my thing's better and we're free. And so.

SPEAKER_01: You know, that's what I mean. Like you don't need everyone to be high agency to go make this thing and collect data and everything. There's probably like 10 people like me. We're all going to make it free. This sounds incredibly, incredibly deflationary. I mean, this is the fully automated luxury abundance society that that, you know, techno

futurists have been talking about for a while. Like that's that's the world you see. To be clear on the like the software slash information kind of

SPEAKER_00: Services side. Yeah, but then that's you know leaves a lot more smart people out there to Or you know hard-working people out there to go do things in and I think it goes back to the physical world You know, there's like Like a lot of let's use like a home building for an example. There's a lot of just kind of slop home builders. For example, they're just Very mediocre houses. They're not really well thought through They're not really places that people super love living there, you know, they're decent enough and nice and trendy and modern But you know, maybe we'll get to a point where more people are building just and really thinking through wonderful homes for people to live in That's good. There's not enough super nice homes for people to live in. That's a good thing, right? Yeah, that is a good thing But You know as much as there is a shortage of skilled labor I would say like the cost of materials is still like a pretty big, a pretty big component. And if suddenly, you know, this creates more demand, like it doesn't necessarily jive, right? Who's going to buy all these houses? The housing is a good example because like we already build the houses, right? They're already getting built, but they're not like well thought through. You go to like the most housing developments, there are better home builders and worse ones, right? But if you go to like the worst home builders, You can sort of picture it like every house looks almost the exact same, the trees in the exact same location. You know, this is not like a really nice place to live exactly. I mean, it works. It's good enough, but maybe places like that won't have to exist anymore. Maybe they can be improved or whatever.

SPEAKER_01: Well, I would argue that perhaps it is thoughtful. It's not that nobody has thought it out. It's that it's that they have thought it out. And it's the easiest way to get the most houses built. And yes, it is easy. That's true. Yeah. And so I don't see. I mean, just if what you're saying is that there's going to be so much labor displacement that suddenly, like, that's what people are going to do. And then but it doesn't It also doesn't seem like they're going to have a lot of pricing power on their labor because there's going to be this huge glut of labor. So people are just going to have to really love working with their hands to want to do this. Well, I don't think you have to. You're not going to be physically building it exactly right. You're

going to be like designing or thinking it through. It's kind of refining it. So like one of my limited partners use this really cool hotel project.

SPEAKER_00: He didn't actually get to build it because interest rates went up too much, but he bought the land for it It's really well thought out. I was like right next to a national park He found architects who were gonna like make the place look like To fit in with the scenery to actually make it look visually appealing and beautiful and everything I think there's more room for and it's not like he's gonna go Actually, I think the the number of people even doing the physical part of it It's gonna go down to like all the drivers are gonna go away

SPEAKER_01: Arguably, the reason that we aren't building these beautiful things anymore, that we're not building unique things, is that people can't afford it. Everybody would, right? You can, you know, if you go to the ultra high end, I mean, look, even ultra high end real estate is starting to get cookie cutter. But at least in theory, at the ultra high end, you can hire an architect, you can get a custom build and you can get something.

SPEAKER_00: truly beautiful and wonderful to live in. So it's not like it doesn't exist, it's just cost prohibitive. And I just don't see. Yeah, it's cost prohibitive because the supply is too low, right? That's how I see it. You have not enough people doing that kind of work. And instead, everyone's working to like, work on a let's use Google's search business, right? So You have all the smartest people right now figuring out how do we infringe on people's privacy to the maximum amount? How do we make search actually worse and kind of annoying to use so people have to search even more? How do we stick in yet another advertisement without, and that's the kind of problem that those kind of people are working on today. And so if all those kind of people, these are our best and brightest people are working on that today, right? They all work for the magnificent seven. and they're all working on expanding the modes of these businesses. I don't think that was good for anybody. Or let's use the big law firms. Nobody likes working at the big law firms. They all hate their jobs. They're only there because they earn a lot of money, right?

SPEAKER_01: Both of all those kinds of people started actually doing something useful the big law is a good example because that's just pure rot

my thing with that though is I do think there's a class component and you're supposed to if you're from the certain like higher class you have to signal that you know your worth and your place in society and like get that job and if like that goes away if if Working at the the big law firm no longer exists as a viable route to like in group signaling. I don't necessarily think Carpentry is going to suddenly take its place. I mean, maybe in some ways it is like if you look at a lot of like, you know, tech founder types, like they do get these sort of like passion project to open a surf shop.

SPEAKER_00: or whatever it is I mean Charlie Munger got into it right Charlie Munger did like designing all sorts of weird stuff and he didn't really do it for the money even but what I'm saying is uh people will actually enjoy doing it and it might actually pay something decent in comparison to other opportunities so like it won't just be them it'll be all of their peers right it'll be like millions of people actually building things that people want to like love using all day and love being around and everything

SPEAKER_01: It is a beautiful vision, David. I'm not sure if I see the path quite the same way you do if suddenly we're all out of jobs. But you talk about what Google is doing, making search worse, how AI is cannibalizing it. It does seem that of all of the Magnificent 7, Meta's ad business seems to be doing pretty well. You could argue that people are addicted to their phones and addicted to social media, and it has negative externalities for, you know, the individual. I would argue that, yes. Yeah. But I would say by and large, people are at least like choosing to spend more time like nobody's choosing to search something and not get a good result. Whether there is an addictive component to it, people are choosing to spend more times on their phone. They're choosing to engage more with.

SPEAKER_00: Sponsored content all of these sorts of things advertisements through social media Like do you think do you see that as one of the better businesses in the Magnificent seven? It could be a good one It depends because it used to be called social media and I feel like every year it becomes less social It's just now media. Yeah, and so if it's just only media then maybe they don't have any moat at all So on you know, but the media business For the last few years, of course has done incredibly well But maybe in five more years their platform is just a commodity. I don't I

don't know. I I'm not saying I'm not trying I'm laying out the bear case, of course What about the bull case? I mean there is a notable cases people keep using it. It gets more and more addictive

SPEAKER_01: It gets more and more interesting because AI makes the content actually genuinely better. It's even less slop-like. Maybe it's even a good, you know? Yeah, but there is definitely a network effect, right? If you are somebody who is creating content and to monetize it, you want to plug into the system where the people are. Like, you know, when you're talking about data other than the IB chat of Bloomberg, like to compare your Bloomberg terminal and like why that's a disruptible product. Yes, there's IB chat. at the institutional level, the ability to message your broker and make a trade in IBChat and that it's all there and the record is clear and clean and everything, that has some value. But for the average person who doesn't need that, I can see why data from anywhere works the exact same. But at the social media level, there is a network effect.

SPEAKER_00: Yeah, you're connecting many to many so usually that's a pretty wide-moat business But intuitively It just doesn't seem as strong as it was like say back in the Facebook day That's pretty easy to comparison right because there's like oh if you want to see all of your friends and family You got to be on Facebook. They're not going to be anywhere else But let's say that you know like some new upstart thing gets a bunch of artists to start posting their stuff there or whatever the interest topic is, right? Maybe people start going to that new website instead because it's in that new niche. It doesn't have to be on a gigantic platform anymore. I don't know. I especially with these very short form videos, I feel like, you know, doom scrolling, like what does that have to be unique to? You can say, OK, it's they have an advantage because they already have so many Videos to cycle through in their algorithm keeps people addicted so it could be pretty wide mode that way I mean, I don't know exactly what caused it, but I just switched recently from YouTube I used to listen to music on there most of the time and now I'm on Spotify all the time instead So somehow YouTube lost me on the music front. So that's what I mean though. Maybe someone could actually make a better Short form video thing. I guess tick-tock already did in a way

SPEAKER_01: But I think my thing with music and maybe this would change in the world that you're envisioning. Right. Where we maybe we're not painters, but I would say music is perhaps like of the arts, the one that is more like distributed throughout the population. If that makes sense, like our ability to create music, I think is is is less rare than our ability to create like visual art. that people have interest in, but Spotify, music is closer to your Bloomberg terminal, right? Like there's a couple of sources of data that matter. Like for most, yes, there are millions of artists out there, but we kind of, they're known, there are small groups of people that make up the majority of the demand for music, like popular artists. And so it's to me, like much more similar to your Bloomberg terminal argument. And so, you just went with like the one that serves you better. Whereas like the way that individuals are creating content and plugging into the system that I like with Spotify, there's not there's not an unknown upstart artist out there who's saying, oh, I just have to get on Spotify and then everyone's going to find my music and then I'm going to have a music career. Right, like you're you're actually probably being discovered on Instagram or tik-tok or YouTube or one of these platforms that do allow you to serve Yourself out there and like I don't think that's what you're looking for in your listening experience. You probably have Set tastes at this stage in your life. Maybe maybe you're you know, acquiring interest in new artists But I think that that's why Spotify is different. Yeah

SPEAKER_00: I think the Spotify algo was just better. Um, but you know, maybe, um, cause we have these AIs we chat with and it learns our preferences now too. So maybe those will start being able to recommend, you know, if you start going down rabbit holes of, Hey, you know, can you create like a music playlist for me and I'll just like swipe left or right. I don't like it. I like it. Right. And then maybe the AI for all we know in five years is going to do a fantastic job of matching with what I actually like versus the let's say the the algo on TikTok and Instagram. You don't really have a choice. They're just kind of feeding you the most addictive thing. Even if you don't necessarily like the thing, you just sort of you're going to watch this. This is that's the thing. They know you're going to like it. They know it's very addictive, I guess. I don't know if they like it.

SPEAKER_01: It's like a heroin addict. Yeah, that's that's perhaps perhaps not the right way to look at it. Well, David, I want to bring it back to the here and now back to the markets as we close out. You know, are you talking thinking about like net exposure right now? Like, are you net short as a fund? What would it take for you to to change that significantly? For some reason, in the last 30 days, it says my beta

SPEAKER_00: Has been negative at the fund level It's not super negative, but I don't really know if I trust it because you can never tell that much I'm just aiming to be around zero. I just try to Be in a spot where I'm not worried if the markets going up or down or all this we did pretty well through this Because of Mike and Rodrigo I was sort of flat this really crazy week But yeah, I'm not really trying to bet on the market direction here, I don't It just seems like who knows nobody knows where it's going to be in a year. Okay. So it's not like I mean, you know, I think back to 2022 like I believe you got pretty net short in that period, right? That was a lot that was I think my beta was still actually close to zero though. But yeah, I was short these really bad just terrible companies because 21 made a really easy setup, right? The AI trades way different. Of course. This is fundamentally a real thing. There is a real bull case. But, you know, for some junkie thing trading 50 times revenue at 80 billion dollars or whatever. And, you know, it's like, OK, a basket of these things can kill it. So despite, you know, your belief that there is a glut, there has been overbilled. You don't see it like 2021. Yeah, to be clear, there is a bull case. I'm going to be wrong, like probably 40 percent of the time at least or something. You know, I'm not this isn't that's why I'm not betting on it. I'm just sort of like. I'm gonna not play this, don't have to worry about it. Okay. Well David, thank you so much for joining us. Where can people follow you? Yeah, I'm on X or David, so O-R-R-D-A-V-I-D. We started a new substack for Militia. I think it only has 100 followers or something right now, but I might start posting something on there once in a while, and Mike and Rodrigo are gonna start posting on there too. So the first thing we posted there was Rodrigo's Q3 letter.

SPEAKER_01: There we go. All right. The URL is content.militia.com. Launched seven days ago. You have a new subscriber in me right now, David. Thank you. Great. Thanks for subscribing. I hope you enjoyed that. I

want to say a big thank you to today's sponsor, Lens, ticker L-E-N-S, the Sarmaya thematic ETF, which gives real asset exposure and the potential to diversify a 60-40 portfolio. Read the prospectus at SarmayaETF.com. Disclosures in the show notes. Thanks for watching.